the more expensive plan was instituted as the default, and 70 percent of citizens "selected" it. In Pennsylvania, the opposite was true—residents would have to opt out of the default, less-expensive option in order to opt into the more expensive option. In the end, 80 percent of the residents "chose" to pay less.

Technical Description

Status quo bias refers to the finding that an option is more desirable if it is designated as the "status quo" than when it is not.[2] Status quo bias can contribute to the aforementioned inertia principle, but inertia is not as strong as status quo bias. Inertia means that an individual is relatively more reluctant to move away from some state identified as the status quo than from any alternative state not identified as the status quo. People less readily abandon a condition when they're told, "Things have always been this way." Status quo bias implies a more intense "anchoring effect."

Status quo bias is often discussed in tandem with other biases, namely endowment bias (see Chapter 21) and loss aversion bias (see Chapter 17). Status quo bias differs from these two in that it does not depend on framing changes in terms of losses and potential gains.[3] When loss aversion bias and status quo bias cross paths, it is probable that an investor, choosing between two investment alternatives, will stick to the status quo if it seems less likely to trigger a loss—even if the status quo also guarantees a lower return in the long run. Endowment bias implies that ownership of a piece of property imbues that property with some perceived, intangible added value—even if the property doesn't really increase the utility or wealth of the owner. By definition, endowment bias favors the status quo—people don't want to give up their endowments. Loss aversion bias, endowment bias, and status quo bias often combine; and the result is an overall tendency to prefer things to stay as they are, even if the calm comes at a cost.

PRACTICAL APPLICATION

Investors with inherited, concentrated stock positions often exhibit classic status quo bias. Take the case of a hypothetical grandson who hesitates to sell the bank stock he's inherited from his grandfather. Even though his portfolio is underdiversified and could benefit from such an adjustment, the